

performance fee yearly. That's the most common set-up for professionals trading these kinds of strategies on behalf of others.

As a general market comparison, I use the global equity index MSCI World Total Return, which includes reinvested dividends. This is certainly not a strategy that attempts to mimic or beat the equity indices and as a benchmark it is not really a fair comparison because they are very different animals, but it is my experience that investors, individual and institutional alike, are very focused on the overall state of the equity market and that the pressure on a futures manager thereby goes up as equities go up and declines when equity markets are doing poorly. Even if your strategy is completely unrelated to equities, this tends to be the case. The only explanation I can offer is that it is human nature to want to gain when everyone else is gaining and that a loss does not feel so bad when everyone else is also losing. For most investors, a loss hurts much more if their neighbours are gaining at the same time. This phenomenon never ceases to amaze me, but it seems a fact of life for our industry.

■ How to Read This Chapter

This is the longest chapter of the book and as it goes through the behaviour and performance of the strategy over the course of 20 years, it may feel like ancient history and cause you to wonder whether this is just a page filler. I can assure you that nothing is further from the truth. In my view, this chapter is by far the most valuable learning opportunity in the book and if you want to understand trend trading in depth, you should reflect on each year, looking at the details in the performance charts and trying to imagine what life is like for a professional trend trader.

What you are normally told in books and marketing material is that trend trading is easy and highly profitable. The study of the year-by-year behaviour and breakdowns on sectors and directions shows that although it is profitable in the long run and the trading rules are theoretically simple, it is far from easy to accomplish the results in real life. Consider this chapter as a reality check. It is my way of showing the real side of this business, the good and the bad, without overselling or overhyping. If you want to enter the field of trend trading, read the book through once first. Then go back and study the details of this chapter again.

When you have settled on your own trading strategy, whether by constructing your own or modifying my core strategy, make realistic simulations